Source: Australian Financial Review (opinion), 10 Nov 2026
Wednesday 11 November 2026

Opinion: 'Blame Canberra and the RBA, not oil, for inflation'

This is an opinion piece. In the AFR, economist **Dimitri Burshtein** (Eminence Advisory) argues that the oil shock is a 'convenient excuse'. In his view, Australia's inflation was caused by **heavy government spending**, made worse by an RBA that **cut rates too early in 2025**.

WHAT HAPPENED

- **Oil isn't the root cause:** underlying inflation (3.6%) has been rising since mid-2025, before the Strait of Hormuz was closed in late February 2026.
- **Too much money:** using Friedman's quantity theory, money needed to grow about 4.6% (2.5% inflation + 2.1% real growth). Broad money grew **8%** in the year to June 2026, easing to 6.2% by September.
- **RBA error:** three cuts in 2025 (to 3.6%) while inflation was above 3% were followed by five rises in 2026. The cash rate is now 4.85%, above where it started.
- **Fiscal policy:** federal spending rose from 24.3% to 26.9% of GDP (2022-23 to 2025-26). Cost-of-living relief and funded wage rises 'validated' higher prices.
- **His fix:** keep monetary policy tight, cut spending sharply, pursue deregulation and productivity reform, as in the Hawke–Keating 1980s.

Underlying (trimmed mean) inflation: inflation with the most extreme price moves removed
Broad money: the RBA's widest measure of the money supply
Real cash rate: the cash rate minus inflation

KEY NUMBERS

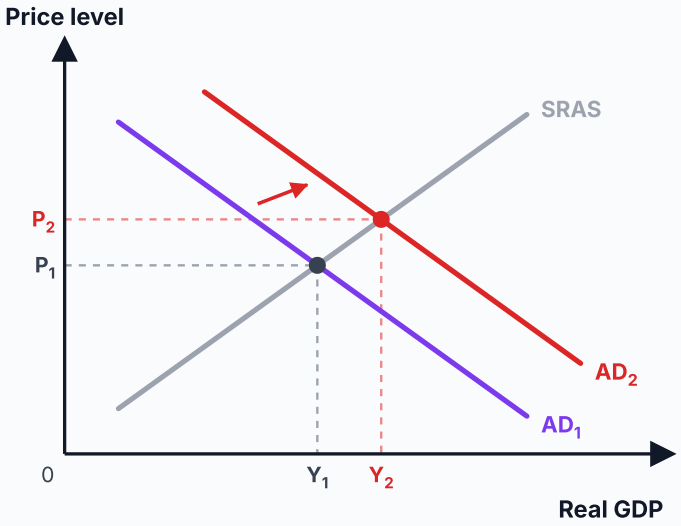
4.85%
Cash rate after 5th rise in 2026

3.6%
Underlying inflation (headline 4.3%)

8% vs 4.6%
Broad money growth vs the author's 'needed' rate

26.9%
Federal spending, % of GDP, 2025-26 (24.3% in 2022-23)

DIAGRAM The author's case: demand-pull inflation



Burshtein's argument is about **demand**. Government spending, cost-of-living payments and cheap credit after the 2025 rate cuts push aggregate demand from **AD_1 to AD_2**.

The price level rises from **P_1 to P_2**: **demand-pull inflation** that persists however oil prices move.

The oil shock is a **supply** (SRAS) shift. He argues it can only change *relative* prices unless extra money keeps total spending up.

Exam angle: he argues the real cash rate is only about **1.25%** (4.85% − 3.6%). On Warren Hogan's benchmark, policy is only restrictive above about 2%, so on that view monetary policy is still not very tight.

COMPARE Weighing the argument

The author's case

- Core inflation rose **before** the oil shock
- Money and credit growth (credit +8.4%) outran output
- Public demand ~28.5% of GDP vs a 23.5% pre-COVID average

Points critics would raise

- The RBA sets **interest rates**, not money; the link from money to prices is loose when velocity is unstable
- **Private** demand matters too: the RBA cites a data-centre investment boom
- Oil feeds into **second-round** costs and expectations, not just relative prices

SYLLABUS LINK

Topic 4 – fiscal and monetary policy: stance, interaction and limitations.
Topic 3 – causes of inflation (demand-pull vs cost-push).

TRY THIS

Evaluate the claim that Australia's high inflation in 2026 is caused mainly by government policy rather than global oil prices.
(6 MARKS)

AFR (opinion), Dimitri Burshtein – That 'recession feeling' is caused by Canberra and the RBA (Nov 10, 2026). Uploaded by the teacher.

Diagrams are illustrative, not to scale